

Ironwood Multi-Strategy Fund II, LP - 2023 Review

Hedge Fund Fund 9 findings Prepared June 9, 2026 Reviewed June 9, 2026

Partial Audit. Findings reflect only the documents provided; absence of other document types is not treated as a deficiency.

OVERALL RISK

HIGH

QUALITY SCORE

6/10

This is a partial audit of Ironwood Multi-Strategy Fund II, LP (HF), conducted on a single Q4 2023 NAV statement intentionally provided as the only in-scope document. The reported NAV of \$312.5M reconciles cleanly to committed/called/uncalled capital (\$375M = \$290M + \$85M), but several warning-level issues materially limit reliance: an internal vintage-year contradiction (2019 stated vs. 2020 formation/June 2020 commencement of operations), explicit withholding of ASC 820 quantitative unobservable-input disclosures for Level 3 positions, absent fee economics despite financial highlights being claimed, and a closed-end drawdown capital structure inconsistent with the 'hedge fund' classification and absent of any disclosed liquidity terms. The most critical concerns are the Level 3 valuation opacity and the vintage inconsistency, both of which bear directly on the credibility of reported NAV and performance. On a directional basis, the fund presents an elevated risk profile pending resolution of valuation transparency, fee disclosure, and structural/liquidity clarification.

CrossDocument 6/10	GAAP_ASC946 6/10	CapitalAccounts 10/10	NAV 8/10	InvestmentSchedule 6/10
FeesAndCarry 6/10	FundTerms 6/10			

Risk Matrix

CATEGORY	CRITICAL	WARNING	INFO	PASS
CrossDocument	—	1	—	—
GAAP_ASC946	—	2	—	—
CapitalAccounts	—	—	—	1
NAV	—	—	1	—
InvestmentSchedule	—	1	—	—
FeesAndCarry	—	1	1	—

CATEGORY	CRITICAL	WARNING	INFO	PASS
FundTerms	—	1	—	—

Findings

WARNING CrossDocument high confidence Open Requires verification F-001 Internal vintage-year conflict within the NAV statement: the Fund Summary (p.1) states Vintage Year 2019, while the formation/operations note (p.2) states the Fund was formed in 2020 and commenced operations June 2020. A 2019 label on a June-2020 launch flatters peer-relative performance by implying the fund navigated the COVID drawdown it did not yet have capital deployed for, and affects IRR comparisons, peer benchmarking, and any fund-age-dependent terms. RECOMMENDATION Reconcile the stated vintage year against the LPA effective date and the first capital call/commencement of operations. Correct the Fund Summary or operations note so a single consistent vintage year is reported, and confirm which vintage is used in performance marketing and track-record materials. NAV_Flawed_IronwoodMultiStrategy_Q42023.pdf · p.1 · Fund Summary “Fund Vintage Year is 2019. CONFLICT: formation/operations note (p.2) states the Fund was formed in 2020 and commenced operations June 2020.”	
WARNING GAAP_ASC946 high confidence Open Requires verification F-002 The Level 3 fair value disclosure is incomplete. A Level 3 rollforward is presented, but quantitative information on significant unobservable inputs is explicitly stated to not be presented (p.2). ASC 820-10-50-2(bbb) requires disclosure of quantitative information about significant unobservable inputs (valuation technique, input ranges/weighted averages) for Level 3 measurements. This is the most judgment-dependent portion of the \$312.5M NAV, and an explicit statement that the information is 'not presented' renders the Level 3 book effectively unverifiable by an LP. RECOMMENDATION Provide the full ASC 820 quantitative unobservable-input table for all Level 3 positions, the Level 3 balance as a percentage of NAV, the identity of any independent valuation agent, and evidence of methodology consistency versus prior periods. NAV_Flawed_IronwoodMultiStrategy_Q42023.pdf · p.2 · Level 3 Fair Value Process “Level 3 Rollforward presented; however quantitative information on significant unobservable inputs is explicitly not presented”	

WARNING

GAAP_ASC946

high confidence

Open

Requires verification

F-003

Investment company accounting guidance (ASC 946) is not cited within the provided statement, and the presence of related-party and subsequent-events disclosures could not be confirmed from the provided pages. For a fund presenting under investment company accounting and holding self-marked Level 3 assets, the absent ASC 946 framework citation combined with unconfirmed related-party disclosures suggests the package may be a management-prepared summary rather than a GAAP-conforming presentation.

RECOMMENDATION

Add an explicit basis-of-presentation reference to ASC 946 (Financial Services — Investment Companies) in the accounting policy footnotes. Confirm whether the package is audited or management-prepared, and verify the presence of related-party and subsequent-events disclosures, including any affiliated valuation agents or service providers.

NAV_Flawed_IronwoodMultiStrategy_Q42023.pdf · p.2 · Level 3 Fair Value Process

“Level 3 Rollforward presented; however quantitative information on significant unobservable inputs is explicitly not presented”

WARNING

InvestmentSchedule

medium confidence

Open

Requires verification

F-006

A schedule of investments ('Portfolio Holdings — Fair Value Detail') is cited as present, yet zero investments were captured and no capital account detail was extracted. The composition, concentration, and Level 1/2/3 hierarchy breakdown of the \$312.5M NAV is entirely unverified, and the reported total NAV cannot be tied to underlying balances within the provided extract.

RECOMMENDATION

Re-run extraction on the Portfolio Holdings section and tie individual position fair values to the \$312,500K NAV total; compute the Level 3 percentage of NAV and top-5 position concentration, and identify any position exceeding 5% of net assets (an ASC 946 disclosure trigger). If a NAV-to-capital-account reconciliation is in scope, provide the per-investor capital account roll-forward.

NAV_Flawed_IronwoodMultiStrategy_Q42023.pdf · p.1 · Portfolio Holdings — Fair Value Detail

“Portfolio Holdings — Fair Value Detail”

WARNING FeesAndCarry high confidence Open Requires verification

F-007

Every fee-related field is null — no management fee rate, no incentive fee, no high-water mark, no hurdle, no crystallization terms — yet the document claims financial highlights are present. ASC 946-205-50 financial highlights for a hedge fund must include expense and incentive-allocation ratios; their absence is a material disclosure gap within the provided document itself, preventing LPs from verifying whether incentive fees were accrued at Q4 2023 or whether a high-water mark exists.

RECOMMENDATION

Extract or request the financial highlights ratios (gross/net expense ratio, incentive allocation ratio) and the accrued management and incentive fee line items; confirm the existence and status of the high-water mark and hurdle.

NAV_Flawed_IronwoodMultiStrategy_Q42023.pdf · p.1 · Fund Summary

"Total Net Asset Value is \$312,500 thousand for Q4 2023"

WARNING FundTerms medium confidence Open Requires verification

F-008

The fund is classified as a hedge fund but exhibits a closed-end, PE-style capital structure: \$375M committed, \$290M called, \$85M uncalled. No redemption frequency, lock-up, gate, or side-pocket terms are disclosed anywhere in the provided document. The combination of a drawdown structure, withheld Level 3 inputs, and absent fee terms is the profile of a vehicle where LP liquidity and valuation transparency may both be subordinated to GP discretion.

RECOMMENDATION

Confirm the vehicle's true structure (open-end vs. closed-end drawdown) and obtain redemption frequency, notice period, lock-up, gates, and side-pocket terms to benchmark against HF market standards.

NAV_Flawed_IronwoodMultiStrategy_Q42023.pdf · p.1 · Fund Summary

"Total Committed Capital is \$375,000 thousand"

NAV_Flawed_IronwoodMultiStrategy_Q42023.pdf · p.1 · Fund Summary

"Total Uncalled Capital is \$85,000 thousand"

INFORMATIONAL NAV medium confidence Open

F-005

NAV per unit/share is not reported (perUnit = null). For a hedge fund structure, NAV per unit is typically presented to support subscription/redemption pricing and the high-water-mark calculation. Within the provided NAV statement, this metric is absent.

RECOMMENDATION

Disclose NAV per unit/series alongside total NAV to enable unit-level reconciliation and high-water-mark verification.

NAV_Flawed_IronwoodMultiStrategy_Q42023.pdf · p.1 · Fund Summary

"Total Net Asset Value is \$312,500 thousand for Q4 2023"

INFORMATIONAL

FeesAndCarry

medium confidence

Open

Requires verification

F-009

Implied lifetime net performance appears modest: NAV of \$312.5M against \$290M called capital implies cumulative net value creation of approximately \$22.5M (~7.8%) since the June 2020 commencement, assuming no distributions. Distribution history is not disclosed in the provided document, so TVPI and net IRR cannot be computed and the figure could be higher by the full amount of any distributions paid.

RECOMMENDATION

Obtain cumulative distributions to LPs to compute TVPI/net IRR; confirm whether incentive fees have been accrued or crystallized at any point and whether a high-water mark applies.

NAV_Flawed_IronwoodMultiStrategy_Q42023.pdf · p.1 · Fund Summary
“Total Called Capital (cumulative) is \$290,000 thousand”

PASS

CapitalAccounts

high confidence

Open

F-004

Committed capital reconciles to called plus uncalled capital: Called \$290,000K + Uncalled \$85,000K = \$375,000K = Total Committed Capital. No variance.

RECOMMENDATION

No action required.

NAV_Flawed_IronwoodMultiStrategy_Q42023.pdf · p.1 · Fund Summary
“Total Committed Capital is \$375,000 thousand; Called \$290,000 thousand; Uncalled \$85,000 thousand”

Cross-Document Checks

Committed capital = Called capital + Uncalled capital		PASS
EXPECTED \$290,000K (called) + \$85,000K (uncalled) = \$375,000K (committed)	FOUND Total Committed Capital \$375,000K	
Variance: \$0		
Vintage year consistency within statement (p.1 vs p.2)		WARNING
EXPECTED Single consistent vintage year aligned to formation/commencement of operations	FOUND p.1 states Vintage 2019; p.2 states formed 2020, operations commenced June 2020	
Variance: 1-year discrepancy		
NAV as-of date aligns with fiscal year end		PASS
EXPECTED NAV as-of date = fiscal year end 2023-12-31	FOUND nav.asOfDate 2023-12-31; fiscalYearEnd 2023-12-31	
Variance: none		

Schedule of investments contents tie to total NAV**WARNING**

EXPECTED Sum of position fair values =
\$312,500K total NAV

FOUND Schedule cited as present but zero positions extracted;
Level 1/2/3 split unverified

Variance: indeterminate

PBC Document Requests

- **HIGH** Please provide the complete ASC 820-10-50 quantitative disclosure of significant unobservable inputs for all Level 3 positions, including valuation technique, input ranges and weighted averages, the Level 3 balance as a percentage of NAV, the identity of any independent valuation agent, and evidence of methodology consistency versus prior periods. — Fund Administrator
- **HIGH** Please provide the LPA effective date and first capital call date, and reconcile the vintage designation (2019 stated vs. 2020 formation / June 2020 commencement of operations), confirming which vintage is used in performance marketing and track-record presentations. — General Partner
- **HIGH** Please provide the full Portfolio Holdings — Fair Value Detail schedule with individual position fair values tied to the \$312,500K NAV total, the Level 1/2/3 hierarchy split, top-5 position concentration, and identification of any position exceeding 5% of net assets. — Fund Administrator
- **HIGH** Please provide the fund's fee terms — management fee rate and base, incentive/carried interest rate, hurdle rate, high-water-mark provision and current status, and crystallization frequency — together with accrued management and incentive fee line items as of 2023-12-31. — General Partner
- **HIGH** Please confirm the vehicle's structure (open-end vs. closed-end drawdown) and provide the redemption frequency, notice period, lock-up, gate provisions, and side-pocket terms governing investor liquidity. — Legal Counsel
- **MEDIUM** Please confirm whether the provided NAV package is audited or management-prepared, and provide the basis-of-presentation footnote citing ASC 946, along with the related-party and subsequent-events disclosures. — Auditor
- **MEDIUM** Please provide NAV per unit/series alongside total NAV to enable unit-level reconciliation and high-water-mark verification, and the per-investor capital account roll-forward. — Fund Administrator
- **MEDIUM** Please provide the cumulative distributions to LPs to enable TVPI and net IRR computation, and confirm whether incentive fees have been accrued or crystallized at any point since inception. — General Partner

Recommended Next Steps

1. Obtain the ASC 820 quantitative unobservable-input table and Level 3 percentage of NAV to enable independent verification of the most judgment-dependent portion of NAV. *immediate*
2. Resolve the 2019 vs. 2020 vintage-year contradiction against the LPA effective date and first capital call before any reliance on reported performance. *immediate*

3. Confirm the vehicle's true structure and obtain liquidity terms (redemption frequency, lock-up, gates, side pockets) to assess LP exit rights. *near term*
4. Obtain full fee economics and financial highlights ratios, including high-water-mark status and accrued management/incentive fees. *near term*
5. Confirm audit status and ASC 946 basis of presentation, including related-party and subsequent-events disclosures. *before finalization*
6. Obtain holdings-level detail and cumulative distributions to complete NAV-to-portfolio reconciliation and TVPI/net IRR computation. *before finalization*

Document Set

This is a partial audit conducted at the user's request on a single in-scope document: the Q4 2023 NAV statement for Ironwood Multi-Strategy Fund II, LP (NAV_Flawed_IronwoodMultiStrategy_Q42023.pdf). Other document categories typically recommended for a hedge fund review — audited financial statements, the LPA, offering memorandum, capital account statements, and side letters — were not included in this audit scope and are not treated as deficiencies. Category scores and the overall score reflect only the in-scope document; missing categories did not reduce scoring. Several findings note that certain assessments (fee transparency, liquidity terms, ILPA performance reporting) are unable to be assessed within the provided scope.

AI-generated decision support — not a professional audit opinion or sign-off. All findings require qualified professional review.